

ITEM 1. BUSINESS

Vertex Cloud Systems, Inc. ("Vertex", "the Company", "we", "us") provides a cloud-based enterprise resource planning (ERP) platform for mid-market and large enterprise customers. Our subscription software is sold globally through a direct sales force and channel partners. As of fiscal year end 2023, the Company employed approximately 3,100 people.

ITEM 1A. RISK FACTORS

The following risk factors describe the most significant risks to our business, financial condition, and results of operations as of fiscal 2023.

1. Data Privacy and Regulatory Compliance Risk (Category: Regulatory, Severity: High)

We are subject to evolving data privacy laws across jurisdictions, including the GDPR and various U.S. state privacy laws. Non-compliance could result in significant fines, penalties, and reputational harm.

2. Customer Concentration Risk (Category: Operational, Severity: Medium)

Our top five enterprise customers represented approximately 22% of total revenue in fiscal 2023. A loss of any of these customers could adversely affect our results of operations.

3. Intense Competition in Cloud Software Market Risk (Category: Competitive, Severity: Medium)

The enterprise cloud software market is highly competitive, with several larger competitors that have greater financial, technical, and marketing resources than we do.

4. Talent Retention Risk (Category: Operational, Severity: Low)

Our success depends on our ability to attract and retain highly skilled engineering and sales talent in a competitive labor market.

5. Cybersecurity Breach Risk (Category: Technology, Severity: High)

A significant security breach involving customer data could result in loss of customers, litigation, regulatory penalties, and reputational damage.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview

Fiscal 2023 was a strong year for Vertex Cloud Systems. We are pleased with the continued adoption of our platform among mid-market and enterprise customers, and we are confident in our ability to sustain healthy growth as more customers migrate from legacy on-premise ERP systems to our cloud platform.

Results of Operations

Total revenue for fiscal 2023 was \$850.2 million, compared to \$715.0 million in fiscal 2022. Gross profit was \$612.1 million, representing a gross margin of approximately 72.0%. Operating income was \$76.5 million, representing an operating margin of approximately 9.0%. EBITDA for fiscal 2023 was \$127.5 million, representing an EBITDA margin of approximately 15.0%. Net income was \$42.5 million, representing a net margin of approximately 5.0%.

Liquidity and Capital Resources

Net cash provided by operating activities was \$140.3 million for fiscal 2023. Capital expenditures were \$35.1 million, resulting in free cash flow of \$105.2 million. Total debt outstanding at year end was \$600.0 million, and cash and cash equivalents were \$250.4 million.

Forward Guidance

For fiscal year 2024, we expect total revenue in the range of \$930 million to \$960 million, and diluted earnings per share in the range of \$0.55 to \$0.62.

ITEM 8. FINANCIAL STATEMENTS (SUMMARY)

Income Statement (USD millions)

Revenue: 850.2

Gross Profit: 612.1

Operating Income: 76.5

EBITDA: 127.5

Net Income: 42.5

Cash Flow Statement (USD millions)

Operating Cash Flow: 140.3

Capital Expenditures: 35.1

Free Cash Flow: 105.2

Balance Sheet (USD millions)

Total Debt: 600.0

Cash and Cash Equivalents: 250.4